Increased Expenditure of Rs 4.08 Lakh Crore Was Not Really an Increase

There are quite a few adjustment entries in the revised expenditure budget of financial year 2020–21. To highlight a few:

First, the government will be repaying Rs 1,35,888 crore to NSSF in financial year 2020–21 by using the excess inflows in the NSSF account. FCI owes this amount to NSSF having taken the loans in previous years in lieu of due food subsidy. The government uses surplus cash in NSSF either by issuing special securities to NSSF or by using it as a cash balance as NSSF accounts are in the Public Account. The government will provide budgetary funds to FCI to repay NSSF and, in turn, issue special securities to NSSF to receive back the payments made by FCI to NSSF. The whole transaction would amount to no real expenditure but will transform the accounting entries.

Second, the government had also increased the food subsidy payment for the current year by providing for full subsidy due of Rs 2.87 lakh crore, whereas budget estimates were only Rs 1.09 lakh crore earlier. The rest of the food subsidy was to be paid through NSSF. As per the provisions made in the revised estimates, the entire food subsidy for 2020–21 of Rs 2.87 lakh crore will be paid through the Budget. This increases government expenditure by about Rs 1.8 lakh crore, though there is no effective increase in overall expenditure on the food subsidy account.

Third, the entry of Rs 89,000 crore in case of the Railways is only an accounting treatment. It amounted to no real expenditure.

Likewise, the arrears of fertilizer subsidy cleared and many other such items make their contribution to show that expenditure would be going up by Rs 4.08 lakh crore, though effectively there is little expenditure going up.